

Appearance. Looks like a cup profile with the handle on the right.

U-shaped cup. Judging whether the cup is V- or U-shaped depends on the experience of the person looking at the chart, and to some extent, on the software used to display it (the aspect ratio). So it's an objective interpretation. Mostly, I found patterns with rounded turns and removed V-shaped ones ([Figure 21.5](#) shows a cup with a rounded turn more V-shaped than I like to see). Use the other figures in this chapter as guides.

Up trend. I don't recall excluding any cups with price trending down (such as an inner cup), but you'll want to see price rising into the start of the pattern. O'Neil looks for a 30% rise to the start of the pattern, but that's a trading style and not an identification guideline. If price entered the left cup rim from the bottom, then I was happy with that (without the need for a 30% rise).

Handles. A cup-with-handle without a handle is like peanut butter without jelly. I required my cup-with-handle patterns to have a handle. After cataloging nearly 1,000 of them, I let the statistics determine the size of things, such as the handle length.

[Table 21.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a cup profile with the handle on the right.
U-shaped cup	Find U-shaped rounded bottoms and avoid those with a V-shape.
Up trend	Price rises into the start of the cup.
Handles	Cups must have handles. 1 week minimum, forming in upper half of pattern.
Cup rim	Cup rims should form near the same price level, but be flexible.
Breakout direction	Upward.
Duration	7 to 65 weeks.

The minimum handle length is 1 week with a median length of 22 days. I measured the length of the handle as the span from the end of the cup to the